

The Margin Beat Was Partly a Customs Refund

From the desk: The June-quarter tape is now complete across the listed marine complex, and the direction of travel is the same one we described in September: volumes soft, margins firm. What changed in the last six weeks is the **composition** of the margin. MarineMax lifted gross margin 530 basis points to 35.7 per cent, and told the market that roughly 110 basis points of that came from a tariff refund, most of it relating to boat sales recorded earlier in the fiscal year ([MarineMax](#)). Brunswick's raised full-year guidance is built in part on approximately \$25–30 million of net refunds under the International Emergency Economic Powers Act, against roughly \$40 million of incremental tariff cost for the year ([Brunswick 8-K](#)). Those refunds exist because the Supreme Court ended the IEEPA-based tariff programme and the United States terminated the duties ([White & Case](#)); the mechanics of getting the money back are still contested, with the government having appealed a Court of International Trade refund order in June ([Holland & Knight](#)).

This issue argues three things. First, that the second-half margin story is now part operating and part legal, and that anyone budgeting 2027 off a reported gross-profit percentage is budgeting off a number with a non-recurring customs component inside it. Second, that the genuine, durable improvement this quarter sat on the **balance sheet** rather than the income statement — MarineMax refinancing \$1.49 billion of senior secured facilities out to 2031, OneWater reaching 3.7 times adjusted net debt to adjusted EBITDA from 5.8 times a year earlier, Malibu refinancing to 2031 and authorising a \$70 million repurchase — and that this is exactly the capacity independents do not have. Third, that the demand split has hardened rather than healed: Northrop & Johnson counts pre-owned 24-metre-plus transactions down 8 per cent with aggregate value up 15 per cent, while Malibu's own commentary points at a pressured payment buyer and Brunswick's at pressured value segments. The top of the market is transacting; the financed middle is not.

FEATURED STORY

The Refund Quarter

How much of the margin is customs money

Start with the disclosures the companies made themselves, because they were unusually explicit. MarineMax reported gross margin of 35.7 per cent for the quarter ended 30 June, up 530 basis points, and said margin **benefited by approximately 110 basis points from a tariff refund**, the majority of it attaching to boat sales recorded in earlier quarters of the fiscal year ([MarineMax](#)). Strip that out and the underlying expansion is closer to 420 basis points — still a large number, still driven by better new and used boat margins and by mix shift into superyacht services, marinas, parts and service. But it is not the number the headline carried.

Brunswick was more granular. Consolidated net sales of \$1,557.8 million rose 7.7 per cent, adjusted operating margin improved 90 basis points to 9.6 per cent, and adjusted diluted earnings per share of \$1.56 rose 34.5 per cent. Within that, the Navico Group segment reported adjusted operating earnings up 143 per cent and margin up 680 basis points, which the company attributed to the IEEPA refund and higher sales; Engine Parts and Accessories added 200 basis points of margin on a 9 per cent sales increase; the Boat segment grew adjusted operating earnings 45 per cent on a 5 per cent sales increase. Management stated that excluding the net IEEPA impact, earnings and margin still increased significantly, and guided the full year to net sales of \$5.7–5.8 billion, adjusted operating margin of about 8.0 per cent and adjusted diluted earnings per share of \$4.35–4.75, with third-quarter revenue of \$1.4–1.5 billion ([Brunswick 8-K](#)). Read the guidance as two numbers stacked: an operating recovery, and a one-off recovery of duties paid.

The reason this matters beyond earnings-model hygiene is that the refund is not settled cash for everyone. The duties were terminated following the Supreme Court decision ([White & Case](#)), but the refund pathway has been litigated through the summer, with the government appealing a Court of International Trade refund order ([Holland & Knight](#)). A builder or dealer that has booked a duty-refund receivable into gross profit has recognised income whose timing — and in some import postures, whose entitlement — is still moving. Your floorplan lender will eventually ask. Better that you raise it first.

The durable improvement was on the balance sheet

The most consequential disclosures of the six weeks were financing events, not margin prints. MarineMax completed a refinancing of \$1.49 billion of aggregate senior secured credit facilities, extending maturities to 2031, expanding the revolver and lowering borrowing costs; inventories fell 13.0 per cent to \$788.6 million, a \$118 million reduction year on year; interest expense fell to \$14.3 million from \$16.9 million; adjusted EBITDA rose to \$51.3 million from \$35.5 million, and cash stood at \$174.8 million ([MarineMax](#)). Note also that selling, general and administrative expenses rose to 29.6 per cent of revenue from 26.2 per cent — 340 basis points of operating deleverage sitting directly beneath the margin expansion. Gross margin up, expense ratio up, revenue down: that is a mix trade, not a volume recovery.

OneWater's quarter was the deleveraging story in its purest form. Revenue of \$530.7 million fell 4.0 per cent, same-store sales fell 2 per cent, gross margin rose 70 basis points to 24.0 per cent, adjusted EBITDA rose 15 per cent to \$37.8 million, and adjusted net debt leverage improved to 3.7 times from 5.8 times, hitting the fiscal-year target early. Finance and insurance income of \$17.3 million was down 2.7 per cent; service, parts and other fell 12.8 per cent, mostly on the Ocean Bio-Chem divestiture. Full-year guidance was reset to revenue of \$1.75–1.80 billion, adjusted

EBITDA of \$68–78 million and adjusted diluted earnings per share of \$0.35–0.55, on an assumption that the industry finishes down high single digits ([OneWater 8-K](#)).

One line in that release deserves more attention than it received. Cash was \$68.7 million and **total liquidity, including availability under credit facilities, was \$73.3 million**. That implies roughly \$4.6 million of undrawn capacity outside cash. Leverage at 3.7 times is a genuine achievement; liquidity that thin means the improvement has been bought with working capital discipline and there is very little revolver cushion left for a soft show season. Malibu, for its part, closed a credit refinancing in July extending maturity to 2031 and authorised a \$70 million fiscal 2027 repurchase programme ([Malibu Boats 8-K/A](#)). The scaled players have all termed out to 2031. Independents refinancing this autumn are negotiating into the same credit market without the same disclosure record.

Inventory is falling on the dealer side and rising on the brokerage side. Northrop & Johnson counted 2,157 pre-owned superyachts for sale at 1 July 2026 — 17 per cent of the global fleet, about \$18.8 billion of asking value — against 326 transactions in the first half.

Where the demand actually is

Malibu's fourth quarter looked, at first glance, like an inflection: net sales up 42.7 per cent to \$295.5 million, unit volume up 19.2 per cent to 1,456, gross profit up 59.4 per cent, adjusted EBITDA up 59.7 per cent to \$31.4 million. The full year tells you what actually happened. Fiscal 2026 net sales rose 13.3 per cent to \$914.6 million on unit volume up 0.9 per cent, with gross margin down to 16.0 per cent from 17.8 per cent and net income of \$1.7 million against \$15.2 million ([Malibu Boats 8-K/A](#)). The quarter was carried by acquisition and price, not by a retail turn; management's own framing was early signs of stabilisation set against continued pressure on the payment buyer.

Brunswick said the same thing from the propulsion end: parts of the United States and global new boat market remained pressured, primarily in the value segments, while first-half United States retail was roughly flat once adjusted for the deliberate value-model rationalisation begun last year. Its participation businesses kept compounding regardless — Freedom Boat Club reached its 450th global location and recorded 13 per cent growth in first-half trips ([Brunswick 8-K](#)). Shared access is now a demand indicator in its own right, and it is pointing up while unit retail points down.

At the top of the market the divergence is arithmetically clean. Northrop & Johnson recorded 326 pre-owned 24-metre-plus sales in the first half, down 8 per cent from 354, with aggregate value up 15 per cent to \$3.51 billion and average sale value up roughly 25 per cent to about \$10.8 million; motoryacht value rose 18 per cent to \$3.44 billion while sailing yacht value fell 47 per cent to \$79.5 million. New central agency listings rose 2.8 per cent to 696 while price reductions rose 5.9 per cent to 1,117 — more than one and a half reductions for every new listing. New build sales fell to 142 from 177, a fourth consecutive first-half decline, with 936 yachts under construction and 466 due for delivery this year against 411 delivered in 2025 ([Northrop & Johnson](#)). Deliveries rising into softening order intake is the definition of a supply overhang arriving on a two-year lag.

Builders are already pricing that. Ferretti reported first-half net revenue from new yachts of €585.6 million, down 5.6 per cent, adjusted EBITDA of €92.5 million at a 15.8 per cent margin, and order intake of €341.4 million against €467.3 million — down 26.9 per cent, with **no superyacht order intake at all** in the half and Middle East and Africa revenue down 25.5 per cent. Net backlog fell to

€564.9 million from €760.8 million and full-year revenue guidance was cut to €1,200–1,240 million ([Ferretti](#)). Sanlorenzo, reporting on 3 September, went the other way, with order intake up 18 per cent and backlog around €1.5 billion ([Investing.com](#)). Same segment, same quarter, opposite order books. Brand and delivery-slot discipline are now doing more work than the cycle.

Key takeaway

The two-track model still holds, but the tracks have been relabelled. Margin is no longer a clean read on operating quality: MarineMax quantified roughly 110 basis points of its 530-basis-point gross-margin expansion as a tariff refund, and Brunswick's raised guidance embeds \$25–30 million of net IEEPA refunds against about \$40 million of incremental tariff cost — money whose refund mechanics were still under appeal as of June. What is unambiguously real is balance-sheet repair: \$1.49 billion refinanced to 2031 at MarineMax, 3.7 times leverage at OneWater, a July refinancing and a \$70 million authorisation at Malibu. So run two numbers before you set your 2027 plan. First, your gross-profit percentage with every dollar of duty refund removed — that is your operating margin, and it is the one your lender will eventually use. Second, your undrawn availability net of cash: OneWater disclosed \$73.3 million of total liquidity against \$68.7 million of cash, and if the largest consolidators are operating on cushions that thin, the independent with a 2027 maturity and a 2022-vintage inventory book has no cushion at all.

By the numbers

UNITED STATES

- **MarineMax gross margin, June quarter** 35.7% · +530 bp (≈110 bp from tariff refund) (MarineMax)
- **MarineMax inventories** \$788.6M · −13.0% year on year (MarineMax)
- **MarineMax adjusted EBITDA, June quarter** \$51.3M · from \$35.5M (MarineMax)
- **OneWater adjusted net debt leverage** 3.7× · from 5.8× a year earlier (OneWater Marine 8-K)
- **OneWater finance and insurance income, June quarter** \$17.3M · −2.7% (OneWater Marine 8-K)
- **OneWater total liquidity (cash \$68.7M included)** \$73.3M · leverage target hit early (OneWater Marine 8-K)
- **Brunswick net sales, second quarter** \$1,557.8M · +7.7% (Brunswick 8-K)
- **Brunswick 2026 incremental tariffs vs IEEPA refunds** ≈\$40M cost · \$25–30M net refunds in guidance (Brunswick 8-K)
- **Malibu Boats fourth-quarter unit volume** 1,456 units · +19.2% (full year +0.9%) (Malibu Boats 8-K/A)
- **Federal funds target range** 3.50–3.75% · held, 9–3 vote, three dissents for a hike (Federal Reserve)

UNITED STATES RISKS

Placeholder

GLOBAL

- **Pre-owned 24m+ transactions, first half** 326 · −8% year on year (Northrop & Johnson)
- **Pre-owned 24m+ aggregate sales value, first half** \$3.51B · +15% (Northrop & Johnson)
- **Average pre-owned superyacht sale value** ≈\$10.8M · +≈25% (Northrop & Johnson)
- **Brokerage fleet for sale at 1 July 2026** 2,157 yachts · 17% of the global fleet, ≈\$18.8B asking value (Northrop & Johnson)
- **Price reductions on 24m+ listings, first half** 1,117 · +5.9% (696 new central agency listings) (Northrop & Johnson)
- **New build sales, first half** 142 · from 177 in H1 2025 (Northrop & Johnson)
- **Order book under construction / 2026 deliveries due** 936 yachts · 466 deliveries scheduled vs 411 delivered in 2025 (Northrop & Johnson)
- **Ferretti net backlog at 30 June 2026** €564.9M · from €760.8M; order intake €341.4M, −26.9% (Ferretti investor relations)

GLOBAL RISKS

Placeholder

THREE ACTION STEPS

What to do this quarter

1**Re-run your last two quarters of gross profit with every duty refund stripped out.**

Do it at the line-item level, not as an estimate. Isolate any customs refund, duty drawback or refund receivable that has been recognised in cost of goods sold or as other income, and restate the gross-profit percentage without it. MarineMax quantified its own effect at roughly 110 basis points of a 530-basis-point expansion, and Brunswick's full-year guidance carries \$25–30 million of net IEEPA refunds against about \$40 million of incremental tariff cost — so if the two largest reporters in the sector needed to disclose it, your number has one too. Then confirm with your accountant how the receivable is being recognised given that the government appealed a Court of International Trade refund order in June, and put the restated figure in front of your floorplan lender and your insurer before the audit does it for you. Budget 2027 off the restated number, and set dealer or sales-manager incentive thresholds off it as well.

2**Age-band your brokerage book this week and force a price decision before Monaco.**

Northrop & Johnson's first-half data is specific enough to act on: yachts aged one to fourteen years sell faster and take smaller reductions, while the 25–29-year cohort combines the longest average time on market with the deepest average price cuts — a refit-cost negotiation, not a market-sentiment problem. Average reduction size eased from \$1.7 million in the first quarter to \$1.4 million in the second, and there were 1,117 reductions against 696 new central agency listings across the half. Sort your listings by build year and days on market, and treat any 24-metre-plus boat over twenty-five years old and past 180 days as requiring either a documented reduction or a resignation of the central agency. Take a survey-backed refit estimate to the owner rather than a comparable-sales chart; the buyer is pricing the refit, so you should be too.

3**Renegotiate floorplan terms on inventory turn, not on a rate cut you are not going to get.**

The Federal Open Market Committee held the target range at 3.50–3.75 per cent on 29 July by a 9–3 vote, with all three dissenters preferring a quarter-point increase and the statement citing energy-driven supply shocks keeping inflation above target. Nothing in that supports a floorplan cost reduction arriving from the policy side before the fourth quarter. What did work this quarter was turn: MarineMax cut inventory 13.0 per cent year on year and brought interest expense down to \$14.3 million from \$16.9 million, and OneWater took leverage to 3.7 times from 5.8 times. Go into your renewal with twelve months of unit-level ageing, curtailment history and turn by brand, and ask for advance-rate and curtailment-schedule relief on your fastest-turning brands rather than a spread concession across the whole line. If you cannot show the turn data by brand, that is this week's project.

INDUSTRY PLAYER PROFILE**Ferretti Group (Euronext Milan: YACHT)**

A builder with one of the strongest balance sheets in the sector and one of its weakest order books.

Ferretti reported first-half 2026 net revenue from new yachts of €585.6 million, down 5.6 per cent, with the rate of decline improving through the half — down 8.0 per cent in the first quarter, down 2.9 per cent in the second. Adjusted EBITDA of €92.5 million held a 15.8 per cent margin, only 20 basis points below the prior year, and net profit was €37.9 million against €43.6 million. The net financial position was €95.0 million of net cash at 30 June, up €76.6 million from 31 March on the seasonal working-capital release from deliveries and after roughly €37.2 million of dividends ([Ferretti](#)).

The order book is the problem. Order intake was €341.4 million against €467.3 million a year earlier, down 26.9 per cent, with composite yachts up 6.1 per cent to €170.7 million, made-to-measure down 28.8 per cent to €169.3 million, and **no superyacht order intake recorded at all** in the half against €64.9 million in the first half of 2025. Net backlog fell to €564.9 million from €760.8 million. Full-year guidance was cut on what the company called a prudent basis: net revenue from new yachts to €1,200–1,240 million from €1,250–1,265 million, adjusted EBITDA to €186–197 million from €203–210 million, and capital expenditure to €60–65 million.

Why it matters now

Backlog of €564.9 million against a low guidance end of €1,200 million is under half a year of revenue cover. For a builder whose made-to-measure and superyacht lines carry multi-year build cycles, that is the thinnest forward visibility the group has published in the recent record, and it arrives in the same half that Northrop & Johnson counted 466 industry deliveries scheduled for 2026 against 411 in 2025. Supply is peaking into slowing intake.

The regional split explains most of it. Middle East and Africa revenue fell 25.5 per cent to €163.8 million, and Ferretti attributes the made-to-measure shortfall largely to postponed order conversion in the Middle East against ongoing geopolitical tension. Europe was flat at €252.3 million and the Americas flat at €139.8 million; Asia-Pacific tripled off a small base to €29.7 million. This is not a pricing failure or a product failure — it is a specific regional demand pocket going quiet, and any dealer or broker with Gulf exposure should read those two lines carefully.

The governance overlay is unusual and worth tracking on its own terms. KKCG Maritime's partial tender offer closed on 13 April with valid acceptances of 29,611,598 shares — about 8.75 per cent of capital — for €115,485,232.20, after the consideration was raised from €3.50 to €3.90 per share. Directors Piero Ferrari and Stefano Domenicali resigned in mid-May; Stassi Anastassov was appointed Chief Executive on 15 May; and on 9 June Azur a.s. filed a writ of summons before the Court of Bologna seeking annulment of the 14 May shareholder resolutions appointing the new board. Separately, the company issued a clarification on 11 June regarding rumours of a possible acquisition of The Italian Sea Group ([Ferretti press releases](#)). Ferretti's own characterisation of its position is that the challenge is commercial rather than financial.

Watch for

Order intake disclosed around and after the Monaco Yacht Show, and specifically whether any superyacht order is booked in the second half after a blank first half. That single line will tell you more about the 30-metre-plus new build market than any brokerage index.

Whether the composite yachts momentum — up 6.1 per cent and now half of total intake — holds once the European summer season effect washes out. If composite carries the group while made-to-measure stays down, mix will pull the 15.5–15.9 per cent guided margin band toward its low end.

The Bologna proceedings and any consequent board instability, and any renewed approach to The Italian Sea Group. A builder with €95.0 million of net cash and a thin backlog is a plausible consolidator; a builder in contested governance is a plausible target. Both readings are live, and dealers negotiating 2027 territory agreements should price the possibility that ownership changes mid-term.

VOICES FROM THE FIELD

Reader submissions

Next month we want to publish practitioners rather than filings. Three questions in particular. First, on the refund: if you have booked a duty refund or a refund receivable, how did your auditor and your floorplan lender treat it, and did it change any covenant calculation? Second, on credit: for those who renewed floorplan lines in the last quarter, what actually moved — advance rate, curtailment schedule, spread, or the personal guarantee — and what evidence moved it? Third, on the brokerage side: what are you seeing in days on market by build year, and where is the age cliff in your own book compared with the 25–29-year cohort the aggregate data flags?

We are also looking for charter-side numbers with dates attached: booking windows against last season, discount depth on late Mediterranean availability, and whether Gulf and Red Sea itinerary substitution is showing up in your enquiry mix. We publish contributions with your name and firm, or on background with the figure attributed to an unnamed operator and a description of the business — never with an invented quote and never with a number we cannot see the underlying document for. Send the document with the note. If you would rather we did the arithmetic and did not name you, say so and we will.

— The Helm & Horizon editors

GET INVOLVED

Forwarded this? Subscribe to receive Helm & Horizon every month. **Have an outlook of your own?** Submit it for the next edition — we feature reader perspectives every issue.

[Subscribe](#) · [Submit your outlook](#)

Helm & Horizon · A monthly market briefing for yacht industry leaders.

Sources cited inline with links. Data as of early September 2026. Figures reflect company filings, results releases and central bank statements published through 3 September 2026; the September Federal Open Market Committee decision and the results of the Cannes and Monaco shows fall after this issue closed. Helm & Horizon is published by The Walton Group, Inc. and is not investment advice.

Companion to the Helm & Horizon web edition, October 2026 —

<https://thehelmandhorizon.com/editions/october-2026>